

WRITTEN QUESTIONS (TOTAL: 100 marks)

Answer **ALL** of the following questions. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (20 marks – approximately 36 minutes)

Calvin and David both work for a transportation company as drivers. Both of them are working part-time. Calvin is studying a degree in accounting on a part-time basis and is required to work six days a week. David loves travelling around the world and only works when he is in Hong Kong. David has total control of his working times and hours.

Calvin and David are paid HK\$100 per hour and are required to wear company uniforms. Calvin works eight hours per day and six days a week. His salary includes a contribution to his Mandatory Provident Fund account, and he is entitled to holiday and sick pay.

Calvin is also allowed to use the company car with the company's logo, and the car is maintained by the company. One day, when Calvin drove his car back home after work, he knocked down a pedestrian while he was busily talking on his mobile phone. Legal action has been taken by the pedestrian against Calvin and Calvin's employer.

David is working on an hourly basis, and he is paid on this basis for the hours he actually works. David does not have holiday, sick pay, or a Mandatory Provident Fund account. David does not work for the company when he is travelling in other countries. David cannot use the company's car for private purpose and must park the car at the company's car park after work.

Required:

In relation to employment law (for part (a)) and tort of negligence (for part (b)):

- (a) Analyse the employment status of Calvin and David and the protections offered to them respectively.**

(10 marks)

- (b) Analyse the elements required to prove that Calvin is liable for the car accident.**

(10 marks)

Question 2 (15 marks – approximately 27 minutes)

Sam is a sole proprietor of a taxi company with several taxis for leasing to taxi drivers and May, his girlfriend, is his secretary and accountant.

The taxi drivers have been paying the daily rental for the taxis for a long while to May without objection from Sam.

May has allowed her youngest brother, Tommy, to use a taxi which has not been let to other taxi drivers, and Tommy has provided some monetary advantages to May for the use of the taxi. May has kept the monetary advantages from Tommy for herself without the permission of Sam.

Recently, Sam and May broke up. May resigned from her position with the taxi company. Without the knowledge of their break-up and May's resignation, the taxi drivers continued to pay the daily rental for the taxis to May for two weeks.

After two weeks of the taxi drivers still paying the daily rental for the taxis to May, Sam told the taxi drivers that May resigned and was not his agent and she had no authority to receive the rental from them. Sam would like to collect the rental which had been paid to May from the taxi drivers during the said two weeks. The taxi drivers refused to pay the rental to Sam.

Required:

In relation to agency (for part (a)) and anti-corruption laws (for part (b)):

- (a) Analyse whether May is an agent for Sam, and whether she has any authority to receive the rental from the taxi drivers.**
- (10 marks)**

- (b) Analyse whether May has committed any offence in respect of the monetary advantages paid by Tommy to her.**
- (5 marks)**

Question 3 (20 marks – approximately 36 minutes)

Jimmy is a collector of special antique watches. He has several unique and precious watches in the world.

Recently, Jimmy has acquired a very special antique watch from an auction. This special antique watch had to be kept in a special box with temperature-control. Jimmy went to a well-known watch box shop to look for this special antique watch box.

Jimmy asked the shop owner Tom whether they had a watch box for his special antique watch. Tom showed Jimmy a sample of a watch box which was made in Switzerland. Jimmy told Tom that his watch had to be kept under special temperature-control in a special antique watch box. Tom told Jimmy that Tom needed to check for it. Tom then asked his staff to check with the manufacturer. Tom's staff just quickly checked the function of the special antique watch box from the internet. The staff found an online forum which stated that the watch box had the temperature-control function but he did not verify the function with the manufacturer. The staff told Tom about the information that he obtained from the online forum.

Based on the information from the staff, Tom made a representation to Jimmy that the watch box had the temperature-control function. By relying on the representation of Tom, Jimmy purchased the watch box. Jimmy put his special antique watch into the watch box and after about a week the special antique watch could not be used anymore.

On further investigation, Jimmy found that the watch box did not have a temperature-control function.

Required:

In relation to laws of contract and misrepresentation and sale of goods law:

(a) Analyse whether Jimmy is entitled to lodge a claim against Tom for Tom's representation.

(10 marks)

(b) Analyse Jimmy's legal rights under the sale of goods contract.

(10 marks)

Question 4 (20 marks – approximately 36 minutes)

Friendship Company Limited ("FCL") is a private company incorporated in Hong Kong. It was formed by three good friends, Amy, Betty and Catherine. FCL adopted the Model Articles for Private Companies Limited by Shares as its articles.

It was agreed that Betty and Catherine would work full-time and manage the daily operations of FCL while Amy would only contribute capital to FCL. Betty and Catherine are the two directors of FCL, and each owns 2,000 issued shares in FCL. Amy only owns 1,000 issued shares in FCL.

Recently, Amy discovered that FCL had entered into a transaction in which Betty's and Catherine's families might have interests. As a result, Amy, Betty and Catherine had been in a serious dispute. Amy, as a minority shareholder of FCL, is concerned that the above transaction had not been entered into for the benefit of FCL and would like to bring an action against Betty and Catherine on behalf of FCL in order to stop the above transaction.

However, Amy has been advised that she is not allowed to sue on behalf of FCL and that only in very exceptional circumstances may she take action for FCL under company law.

Required:

In relation to company law:

- (a) Analyse what are the exceptional circumstances under the common law in which Amy can take action for FCL against Betty and Catherine and what action is available to her as a minority shareholder under common law.**
(10 marks)
- (b) Analyse what action for FCL against Betty and Catherine would be available to Amy as a minority shareholder under the Companies Ordinance (Cap.622).**
(10 marks)

Question 5 (15 marks – approximately 27 minutes)

Albert is a retired civil servant, and he makes use of his retirement pension to invest in the stock market. Albert has acquired a substantial amount of shares of over 5% of a public company listed on the Main Board of the Stock Exchange of Hong Kong.

Albert has been advised that there is a disclosure obligation to the public if he becomes a substantial shareholder of a company listed on the Main Board of the Stock Exchange of Hong Kong under the laws relating to securities and futures.

Required:

In relation to securities and futures law:

- (a) Analyse whether Albert would be obligated to disclose his interest in the shares as a substantial shareholder and under what circumstances a shareholder must make such disclosure.

(10 marks)

- (b) Explain which regulatory authority is responsible for enforcing the disclosure obligation under securities and futures law and what are the regulatory objectives of this authority.

(5 marks)

Question 6 (10 marks – approximately 18 minutes)

Nelson and Peter are good friends and former colleagues. They both recently resigned and left their employers and would like to set up a business on their own.

Nelson and Peter want to form and run a partnership in relation to the business and are uncertain of the rights and obligations as partners of a partnership under the partnership law.

Nelson and Peter have come to you because they would like to understand the liabilities and duties owed by a partner to the other partners of a partnership.

Required:

In relation to partnership law:

Explain to Nelson and Peter the liabilities and duties owed by a partner to the other partners of a partnership under common law and the Partnership Ordinance (Cap.38).

(10 marks)

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